

Mahaver Cement Works Pvt. Ltd. v. U.P. Power Corporation Ltd.

High Court of Judicature at Allahabad · Division Bench · 10 July 2009 · First Appeal No. 179 of 2006 · **First appeal dismissed; civil suit barred; liberty to electricity forum.**

HEADNOTE

A civil suit for permanent injunction restraining disconnection and recovery of electricity dues being recovered as arrears of land revenue is not maintainable: it is barred by s.331 of the U.P. Zamindari Abolition and Land Reforms Act, 1950 and s.4 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 unless the demanded dues have been deposited under protest. Appeal dismissed; consumer left to the forum under the Electricity Act, 2003 and the Electricity Supply Code, 2005.

FACTUAL SUMMARY

Mahaver Cement Works Pvt. Ltd. filed Original Suit No. 581 of 1995 at Saharanpur for a permanent prohibitory injunction restraining U.P. Power Corporation Ltd. from disconnecting its electricity supply and recovering alleged dues. The Additional District Judge dismissed the suit on 10 February 2006, holding the plaintiff not entitled to the injunction and the claim barred by estoppel. In First Appeal No. 179 of 2006 the Corporation objected that the dues were being recovered as arrears of land revenue, so the civil suit was not maintainable.

HOLDING-UNITS

INTERPLAY · UPGEUDR1958::4

civil-suit-bar-electricity-dues-recovery

HOLDING

Where electricity dues are being recovered as arrears of land revenue, a civil suit for permanent prohibitory injunction restraining disconnection and recovery is barred. The Court applied s.4 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958: after a s.3 demand notice, a consumer who denies liability may sue only for refund after depositing the dues under protest; the demand is conclusive and the appellant had not deposited, so an injunction suit was not maintainable. It also held the suit barred by s.331 of the U.P. Zamindari Abolition and Land Reforms Act, 1950 (quoting s.330(c) on recovery as land revenue). First appeal dismissed and the 6 April 2006 interim order discharged, with liberty to approach UPPCL by representation before the appropriate forum under the Electricity Act, 2003 and the Electricity Supply Code, 2005. ¶ 1-3

FLAG Court mixes UPZA&LR ss.330 and 331: the objection and operative holding cite s.331; the analysis quotes s.330(c); counsel's fallback referred to s.330.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — LIABILITY FOR THE ELECTRICITY DUES AND THE CLAIM TO RESTRAIN DISCONNECTION

High Court decided only maintainability of the civil suit; merits left to the forum under the Electricity Act, 2003 and the Electricity Supply Code, 2005. ¶ 1-3